

2.1.2 Government policies	a) Fiscal policy – government revenue and government expenditure: • definition of fiscal policy • government revenue – direct and indirect taxes • government expenditure – main areas of focus • fiscal deficits and fiscal surpluses • impact of a fiscal deficit and fiscal surplus • the impact of fiscal policy on macroeconomic objectives. b) Monetary policy – focused on interest rate changes: • definition of monetary policy • definition of interest rates • central banks role in setting interest rates • impact of changes in interest rates on macroeconomic objectives: ◦ the mechanism by which a change in interest rates affects consumers and businesses ◦ awareness of asset purchasing used by central banks. c) Supply-side policy: • definition of supply-side policy • supply-side policy and its impact on productivity and total output • the impact of supply-side policies on macroeconomic objectives: ◦ privatisation ◦ deregulation ◦ education and training ◦ policies to boost regions with high unemployment ◦ infrastructure spending ◦ lower business taxes to stimulate investment ◦ lower income tax rates to encourage working. d) Government controls: • advantages and disadvantages of: ◦ regulation ◦ legislation
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